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Brazil

Oilseeds and Products Update

2011-12 Soybean Production Forecast at a Record 75.5 MMT

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Report Highlights:

Post now forecasts record soybean production in 2011/12 at 75.5 million metric tons (mmt), a slight increase over the 75.3 mmt produced in 2010/11. Brazil has experienced a record planting pace in 2011/12 with over 80 percent completed nationally. The concentrated planting of the estimated record crop will greatly strain harvest and export logistics in 2012. Exports in 2011/12 are forecast to reach a record 36 mmt, up 8 percent from an estimated 33 mmt of exports in 2010/11.

Post:

Brasilia

Table 1. Production, Supply, and Demand Statistics

Oilseed, Soybean (Local) Brazil	2009/2010		2010/2011		2011/2012	
	Market Year Begin: Feb 2010		Market Year Begin: Feb 2011		Market Year Begin: Feb 2012	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	23,500	23,400	24,200	24,200	25,000	25,000
Area Harvested	23,500	23,400	24,200	24,200	25,000	25,000
Beginning Stocks	1,656	295	2,766	1,779	6,441	4,254
Production	69,000	68,700	75,500	75,300	75,000	75,500
MY Imports	150	124	25	25	50	25
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	0	0	0	0	0	0
Total Supply	70,806	69,119	78,291	77,104	81,491	79,779
MY Exports	29,190	29,190	32,000	33,250	36,600	36,000
MY Exp. to EU	9,500	6,000	10,000	10,000	10,000	10,000
Crush	35,700	35,200	36,500	36,500	36,525	36,700
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	3,150	2,950	3,350	3,100	3,450	3,200
Total Dom. Cons.	38,850	38,150	39,850	39,600	39,975	39,900
Ending Stocks	2,766	1,779	6,441	4,254	4,916	3,879
Total Distribution	70,806	69,119	78,291	77,104	81,491	79,779
1000 HA, 1000 MT						

A Record Soybean Production Forecast at 75.5 mmt in 2011/12

Post raised 2011/12 estimated soybean production to a record 75.5 mmt, a slight increase from the previous record of 75.3 mmt produced last year. Post's 2011/12 production forecast is similar to those of private consulting groups Céleres and Safras e Mercado that estimate 75.5 mmt and 75.35 mmt, respectively. The Brazilian Ministry of Agriculture Food Supply Company's (CONAB) second 2011/12 crop survey released on November 9th forecast potential soybean production at 73 mmt. Favorable precipitation patterns have continued to be experienced in growing regions throughout the month of November.

Brazil's 2011/12 Soybean Exports Forecast at a Record 36 mmt

Post forecasts Brazil's 2011/12 soybean exports at a record 36 mmt up over 8 percent from the 33.25 mmt expected to be exported in 2010/11. The concentrated harvest expected in 2012 will strain Brazil's export logistics with no significant increased port export capacity construction projects due. Export potential is greatly predicated on increased demand from China and trade sources currently estimated China to import between 57 and 60 mmt in 2011/12. End of marketing year 2010/11 soybean exports have been very robust with 1.7 mmt estimated for the month of November alone, well above the 300,000 mt exported last year. Trade sources indicate a record level of committed sales reaching 35 percent nationally of which 30 percent have the price already negotiated. This is well above the five year average of 22 percent in committed sales as reported by Safras and Mercado Consultancy group.

Overall, action at Brazil's soybean trading desks has been slow over the last couple of months as buyers continue to consider the market fundamentals and their potential price effects.

Congressional Coalition Supporting the Biodiesel Sector Created

On November 19th, a Brazilian Congressional Coalition consisting of 280 members was launched to support the biodiesel sector. Besides the first objective to create a new regulatory seal, the coalition seeks to increase the competitiveness of biodiesel through advocating for increased domestic use, policies favoring eventual export of biodiesel, and the lowering of taxes on biodiesel. In addition, the coalition has stated its goal of increasing the blend mandate over the near term from 5 percent to reach 10 percent by 2014 and eventually to reach 20 percent over the next ten years. The biodiesel industry is anticipating a revision to the Brazilian blending mandate from 5 percent biodiesel blend to increase to 7 percent sometime in 2012.

Other relevant reports:

[2011 - Brazil Oilseeds Planting Update - October](#)

[2011 Brazil Oilseeds Annual Report](#)

[2011 Brazil Bio-Fuels Annual Report](#)